

EVG1023 - Raymond & Carla Delgado - 2025 Form 1040**CLIENT COPY - FINAL (signed off)** - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Raymond J. Delgado (XXX-XX-5127) / Carla S. Delgado (XXX-XX-8840)
Address	4708 Sardis Oaks Ct, Charlotte, NC 28270
Filing status	Married filing jointly (no dependents)
Digital assets question	No
Forms included	1040; Schedules 1, 2, 3, A, B, C, D, E, SE (x2); Forms 4562, 4684 (Sec. B) + IRC 1033 statement, 6198, 6251, 8582, 8865 (Cat. 3 & 4), 8938, 8960, 8995; K-1 basis worksheets; 704(c)(1)(B) statement; NC D-400
Extension	Form 4868 accepted 04/15/2026 (\$15,000 paid); NC D-410 \$3,000
Filing method	E-file federal (incl. Form 8865 in Axxess) and NC (8879 / NC-8879 signed 09/25/2026); refunds direct deposit Truist ****4421

Key figures	Amount
Total income (1040 line 9)	449,652
Adjusted gross income (line 11)	423,527
Deduction (line 12e) - Itemized (Schedule A)	43,420
QBI deduction (line 13a)	12,375
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	367,732
Total tax (line 24)	78,364
Total payments (line 33)	79,000
REFUND (line 35a)	636

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	0
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	0
2a	Tax-exempt interest	0
2b	Taxable interest	2,840
3a	Qualified dividends	3,600
3b	Ordinary dividends	13,812
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	250,000
8	Additional income from Schedule 1, line 10	183,000
9	Total income	449,652
10	Adjustments to income from Schedule 1, line 26	26,125
11	Adjusted gross income	423,527
12e	Standard deduction or itemized deductions (Itemized (Schedule A))	43,420
13a	Qualified business income deduction (Form 8995/8995-A)	12,375
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	55,795
15	Taxable income	367,732
16	Tax	52,977
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	52,977
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	0
22	Subtract line 21 from line 18	52,977
23	Other taxes, including self-employment tax, from Schedule 2, line 21	25,387
24	Total tax	78,364
25a	Federal income tax withheld - Form(s) W-2	0
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	0
26	2025 estimated tax payments and amount applied from 2024 return	64,000
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	15,000
32	Total other payments and refundable credits	15,000
33	Total payments	79,000
34	Amount overpaid	636
35a	Refund	636
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Ally Bank	2,840
2	Total interest	2,840
4	Taxable interest (to Form 1040, line 2b)	2,840
5.1	Schwab Value Advantage Money Fund (insurance proceeds)	9,612
5.2	Fidelity Brokerage - joint	4,200
6	Ordinary dividends (to Form 1040, line 3b)	13,812
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Schedule D

Line	Description	Amount
7	Net short-term capital gain or (loss)	0
12	Net long-term gain/(loss) from Schedules K-1	250,000
15	Net long-term capital gain or (loss)	250,000
16	Combine lines 7 and 15	250,000

Schedule 1

Line	Description	Amount
3	Business income or (loss) - Schedule C	90,000
5	Rental real estate, royalties, partnerships, S corps, trusts - Schedule E	93,000
10	Additional income (to Form 1040, line 8)	183,000
15	Deductible part of self-employment tax (Schedule SE)	9,397
16	Self-employed SEP, SIMPLE, and qualified plans	16,728
26	Total adjustments to income (to Form 1040, line 10)	26,125

Schedule A

Line	Description	Amount
1	Medical and dental expenses	0
3	7.5% of AGI	31,765

Line	Description	Amount
4	Deductible medical	0
5a	State and local income taxes	12,550
5b	State and local real estate taxes	9,990
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	22,540
5e	Smaller of line 5d or SALT limit (\$40,000 after MAGI phase-down)	22,540
7	Total taxes	22,540
8a	Home mortgage interest and points reported on Form 1098	14,380
8e	Add lines 8a through 8c	14,380
10	Total interest	14,380
11	Gifts by cash or check	6,500
12	Other than by cash or check	0
14	Total gifts to charity	6,500
17	Total itemized deductions	43,420

Form 8995

Line	Description	Amount
Carla Delgado	QBI 66,938; Component (below threshold: 20% x QBI)	13,383
Catawba River	QBI 15,938; Component (below threshold: 20% x QBI)	(1,008)
limit	20% x (taxable income before QBI 380,107 - net capital gain & qualified dividends 253,600)	25,301
deduction	Qualified business income deduction	12,375

Form 6251

Line	Description	Amount
1	Taxable income (Form 1040 line 15)	367,732
2a	Taxes from Schedule A line 7	22,540
4	Alternative minimum taxable income	390,272
5	Exemption	137,000
6	AMTI less exemption	253,272
7-9	Tentative minimum tax	23,486
10	Regular tax (Form 1040 line 16 less Sch 3 line 1 FTC)	52,977
11	Alternative minimum tax	0

Schedule SE

Line	Description	Amount
T	Net earnings 39,711; SS 4,924; Medicare 1,152; half deductible 3,038	6,076
S	Net earnings 83,115; SS 10,306; Medicare 2,410; half deductible 6,359	12,717

Schedule 2

Line	Description	Amount
4	Self-employment tax (Schedule SE)	18,793

Line	Description	Amount
12	Net investment income tax (Form 8960)	6,594
21	Total other taxes (to Form 1040, line 23)	25,387

Form 8960

Line	Description	Amount
8	Total investment income	266,652
12	Net investment income	266,652
13-16	MAGI 423,527 over threshold 250,000	173,527
17	Net investment income tax	6,594

Schedule 3

Line	Description	Amount
10	Amount paid with request for extension to file (Form 4868)	15,000
15	Total other payments and refundable credits (to Form 1040, line 31)	15,000

Schedule C

Schedule C - Carla Delgado Interiors (NAICS 541410; cash method)	Amount
1 Gross receipts (1099-NEC 70,500 + 1099-K 61,800 + checks/ACH 95,200)	227,500
4 Cost of goods sold	61,200
7 Gross income	166,300
8 Advertising	3,900
9 Car (standard mileage 6,200 mi x \$0.70)	4,340
11 Contract labor	8,960
13 Depreciation (Form 4562 - 100% bonus, OBBBA)	28,000
15 Insurance	2,850
17 Legal & professional	1,900
18 Office expense	2,240
20b Rent - studio	14,400
22 Supplies	1,810
24a Travel	2,100
24b Meals (50% of \$1,280)	640
25 Utilities / phone	1,560
27a Software subscriptions	3,600
31 Net profit	90,000

Form 4562

Form 4562 - 2025 additions (acquired and placed in service after 01/19/2025)	Cost	100% bonus (IRC 168(k), OBBBA)
Showroom furniture & display fixtures (7-yr) - PIS 03/06/2025	14,200	14,200

Form 4562 - 2025 additions (acquired and placed in service after 01/19/2025)	Cost	100% bonus (IRC 168(k), OBBBA)
Design workstation + large-format plotter (5-yr) - PIS 04/14/2025	8,600	8,600
Sample-library shelving & display wall (7-yr) - PIS 06/02/2025	5,200	5,200
Total	28,000	28,000
Bookkeeper's QuickBooks depreciation (40% bonus phase-down + MACRS) - not used		13,895

SEP-IRA computation

SEP-IRA maximum (Carla)	Amount
Net profit	90,000
Less deductible half of SE tax	(6,359)
Net earnings for plan	83,641
x 20% (25% plan rate, self-employed)	16,728
Funded 09/08/2026 (before extended due date), designated 2025	16,728

K-1 basis / at-risk / passive worksheet

K-1 basis / at-risk / passive (Raymond)	Catawba River Outfitters	Lakewood Partners LP	Baja Coastal (8865)
Beginning outside basis	30,000	296,000	0
Contributions	0	0	180,000
IRC 704(c)(1)(B) gain recognized (basis increase)	0	250,000	0
IRC 752(b) deemed distribution (liability share decrease)	0	(85,000)	0
Basis before current-year loss	30,000	461,000	180,000
Current-year loss	(52,000)	(14,000)	(6,000)
Allowed by basis (704(d)) / suspended	30,000 / 22,000	14,000 / 0	6,000 / 0
At-risk amount (Form 6198) / allowed	2,000 / 2,000	QNF counts - not limited	not limited
Suspended by at-risk (carryforward)	28,000	0	0
Passive?	No - material participation	Yes - limited partner	Yes
Allowed on Schedule E (2025)	(2,000)	0	0
Ending outside basis	0	447,000	174,000

Form 8582 summary

Form 8582 - passive activities (all suspended)	2025 loss	PY unallowed	Regular c/f to 2026	AMT c/f to 2026
Lakewood Partners LP (limited partner - no \$25,000 allowance)	(14,000)	(31,000)	(45,000)	(40,300)
Baja Coastal Ventures (foreign partnership)	(6,000)	0	(6,000)	(6,000)

Form 8582 - passive activities (all suspended)	2025 loss	PY unallowed	Regular c/f to 2026	AMT c/f to 2026
Duplex - Thomas Ave (active participation; MAGI > \$150,000 -> \$0 allowance)	(253)	0	(253)	(253)
Passive income	0			
Note	704(c)(1)(B) gain is portfolio (land held for investment) - not passive income; fire + IRC 1033 deferral is not a fully taxable disposition - duplex loss not released (IRC 469(g))			

Form 6251 line 2n support

Form 6251 - loss-limited K-1 AMT items	Regular allowed	AMT allowed	Line 2n
Catawba: box 17A +6,000 -> AMT loss 46,000, limited to the same \$2,000 at-risk	(2,000)	(2,000)	0
Lakewood: box 17A +1,200 -> loss suspended (passive) for both systems	0	0	0
Line 2I (depreciation) - box 17A amounts NOT reported (loss limited)			0

Schedule E - duplex (January 2025 only)

Item	Amount
Rents received (2 units x \$1,600 less refund of 01/24-01/31 rent to tenants \$826)	2,374
Taxes (Mecklenburg County 2025, January share 1/12 of \$4,200)	(350)
Insurance (January share)	(200)
Utilities (water/sewer - landlord paid)	(140)
Repairs (unit B plumbing 01/08/2025)	(1,260)
Management fee (10% of rents)	(237)
Depreciation (01/01-01/24/2025 - half month, 27.5-yr SL)	(439)
Net (passive - suspended on Form 8582)	(253)

IRC 1033 election / Form 4684

IRC 1033 election statement (attached; Form 4684 Section B)	Amount
Property: 1407-1409 Thomas Ave, Charlotte, NC 28205 - 2-unit residential rental building, PIS 05/10/2019	
Involuntary conversion: destroyed by fire 01/24/2025; insurance proceeds received 05/16/2025	410,000
Adjusted basis of building (cost 290,000 less depreciation 59,758 through 01/24/2025)	230,242
Gain realized (incl. depreciation that would be unrecaptured 1250 gain)	179,758

IRC 1033 election statement (attached; Form 4684 Section B)	Amount
Gain postponed - taxpayers elect IRC 1033(a)(2); intend to rebuild/replace with similar-use rental property	179,758
Gain recognized in 2025	0
Replacement period ends 12/31/2027 (2 years after the close of 2025, the first year gain was realized)	
Taxpayers will report replacement details (or recognize gain by amended return) when replaced or the period expires	

Form 8995 support

Form 8995 support	QBI
Carla Delgado Interiors: 90,000 - half SE - SEP	66,913
Catawba River Outfitters: allowed loss (2,000) - half SE (assumption); GP excluded (IRC 199A(c)(4))	(5,038)
Suspended Catawba losses (22,000 basis + 28,000 at-risk) - QBI loss carryforward when allowed	
Passive suspended losses - excluded until allowed	

Form 8865 summary

Form 8865 (Baja Coastal Ventures, S. de R.L. de C.V.) - Raymond	Detail
Filer categories	Category 3 (IRC 6038B - contributed \$180,000 cash, > \$100,000 in 12 months) and Category 4 (IRC 6046A - acquired a 10%+ interest)
Schedule O - transfer of property	Cash \$180,000 on 03/18/2025 for 15%
Schedule P - acquisition	15% interest acquired 03/18/2025
Share of loss (passive, suspended on Form 8582)	(6,000)
Filed with Form 1040 (due with the extended return)	Yes

Form 8938 summary

Form 8938 - MFJ living in the US (thresholds: > \$100,000 year-end or > \$150,000 any time)	Amount
Interest in Baja Coastal Ventures - maximum value 2025 (contribution)	180,000
Year-end value (capital account; no appraisal)	174,000
Part IV - excepted specified foreign financial asset: reported on Form 8865 (counts toward the threshold)	Form 8865
FBAR (FinCEN 114)	Not required - a partnership interest is not a financial account; no signature authority

State / Local Returns

North Carolina Form D-400 (full-year residents) - 2025

Line	Description	Amount
6	Federal adjusted gross income	423,527
7 / D-400 Sch S	Addition: 85% of federal bonus depreciation (Carla, \$28,000)	23,800
9	Deductions from federal AGI	0
11	NC itemized: mortgage interest + home RE tax capped at \$20,000 + charity 6,500 (> NC standard \$25,500)	26,500
14	NC taxable income	420,827
15	NC income tax 4.25%	17,885
--	2025 NC estimated payments (4 x 3,800)	15,200
--	Paid with D-410 extension	3,000
--	Refund	315

NC bonus addback recovered as a deduction of 20% (4,760) in each of 2026-2030 (tracking schedule in PERM). Assumption: NC addback computed on the bonus actually taken federally - verify NC's IRC conformity for OBBBA's 100% bonus.